

Walmart

Business Analysis & Valuation

Prepared by – Ganesh Goyal



Global Economy

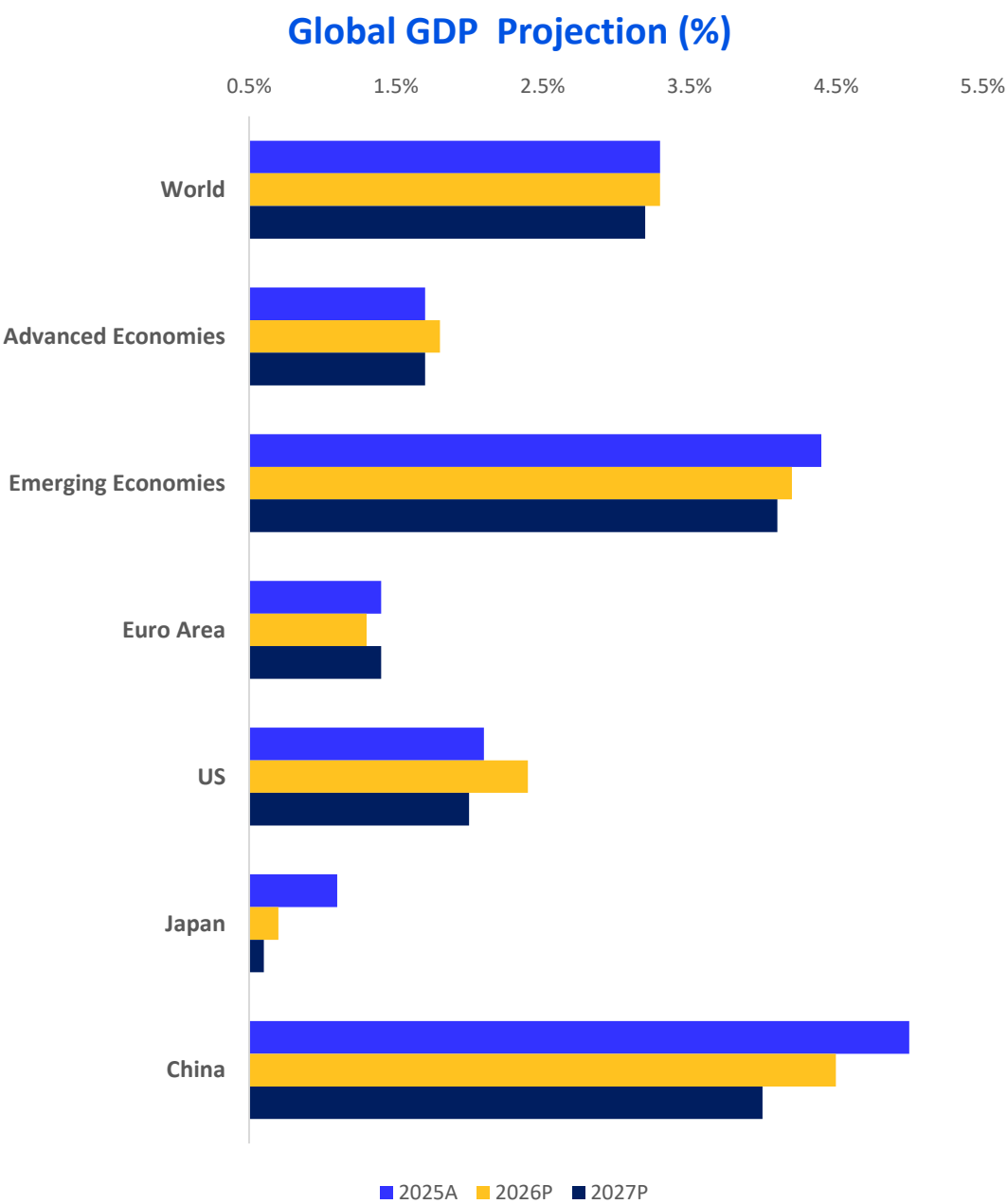
Overview

The global economy continues to show notable resilience, though its momentum is expected to either stabilize or ease slightly in 2026, with overall growth projected between 2.6% and 3.3%. Even as central banks worldwide tighten monetary policy to combat inflation, geopolitical tensions particularly the recent conflict between the U.S. and Iran pose risks of significant disruptions to supply chains, commodity markets, and broader economic activity.

The health of the global economy is sharply divided. Advanced economies have recovered robustly from recent global shocks, with nearly 90% having already surpassed their pre-pandemic per capita income levels. In stark contrast, more than one-quarter of emerging market and developing economies (EMDEs) particularly low-income countries and those affected by fragility and conflict are lagging significantly, with per capita incomes that remain below 2019 levels.

Looking ahead, growth patterns are expected to diverge sharply between developed and emerging economies. Advanced economies are forecasted to experience relatively modest growth of around 1.5% to 1.8% in 2026. In contrast, emerging market and developing economies (EMDEs) are projected to maintain stronger, though slightly slowing, growth in the range of 4.0% to 4.2%.

Source: IMF WEO, World Bank



Source: IMF WEO

U.S. Economy

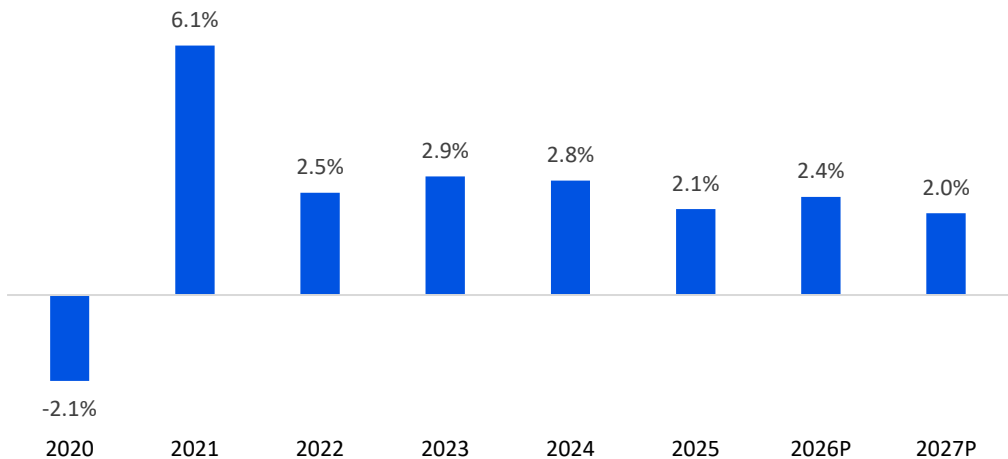
Overview

The U.S. economy is projected to see resilient but moderating growth, with 2026 GDP forecasts ranging between 1.9% and 2.4%. Growth is being powerfully supported by a surge in artificial intelligence (AI) and technology investment, alongside near-term fiscal stimulus such as tax incentives for corporate investment and higher tax refunds under the One Big Beautiful Bill Act (OBBBA) of 2025. Additionally, a rebound in activity is anticipated following the end of the federal government shutdown in late 2025.

Labor Market and "K-Shaped" Consumers The labor market is showing clear signs of cooling. Net hiring stalled in mid-2025, driven by reduced labor demand, lower immigration, and an aging workforce. The unemployment rate is projected to drift higher, reaching around 4.7% in the first half of 2026. Consequently, consumer spending is becoming increasingly "K-shaped" while affluent households continue to drive outlays bolstered by wealth gains, lower-income families are struggling with an affordability crisis induced by softer wage growth, elevated borrowing costs, and tariff-related price increases.

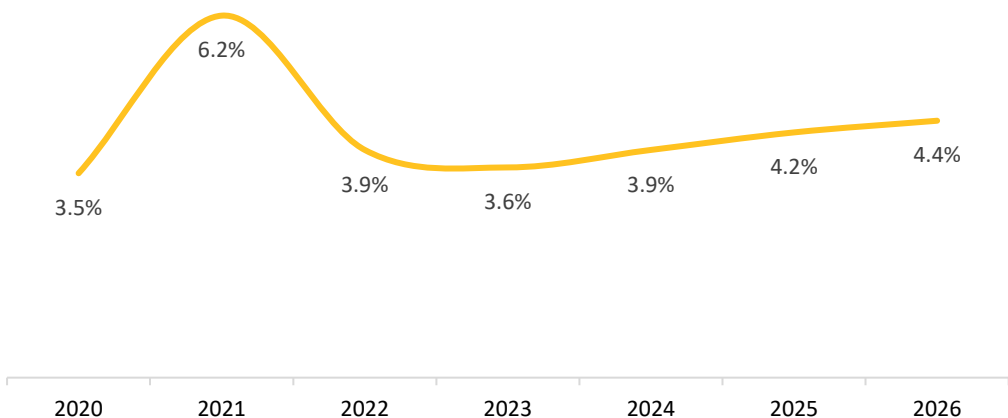
The inflationary effects of these tariffs are expected to peak in early 2026, with core inflation gradually returning to the 2% target by 2027. As inflation stabilizes and the labor market softens, the Federal Reserve is likely to shift toward monetary easing to support employment. Modest rate cuts are anticipated in 2026, bringing the policy rate to approximately 3.00%–3.25% by year-end.

U.S. GDP Growth (%)



Sources: IMF WEO, Trading Economics

U.S. Civilian Unemployment Rate (%)



Sources: US Bureau Labor Statistics

Sources: IMF WEO, World Bank, BNY

Consumer Staple Industry – U.S.

Overview

Retail sales in the U.S. are expected to grow from about \$7 trillion in 2022 to around \$8.4 trillion by 2028, including both in-store and online sales. The retail industry is very large and diverse, with nearly four million businesses such as grocery stores, restaurants, and bookstores.

Within this, the food retail segment (grocery and health & wellness) is about \$1.3 trillion. Walmart leads this space with roughly 25% market share, far ahead of Kroger, which has just under 10%. Overall, the top five food retailers' control about half of the market, showing a high level of concentration. The U.S. retail market is highly competitive, with major players like Walmart, Amazon, Kroger, Costco, and Target competing for customers by offering low prices, wide product selections, and convenience.

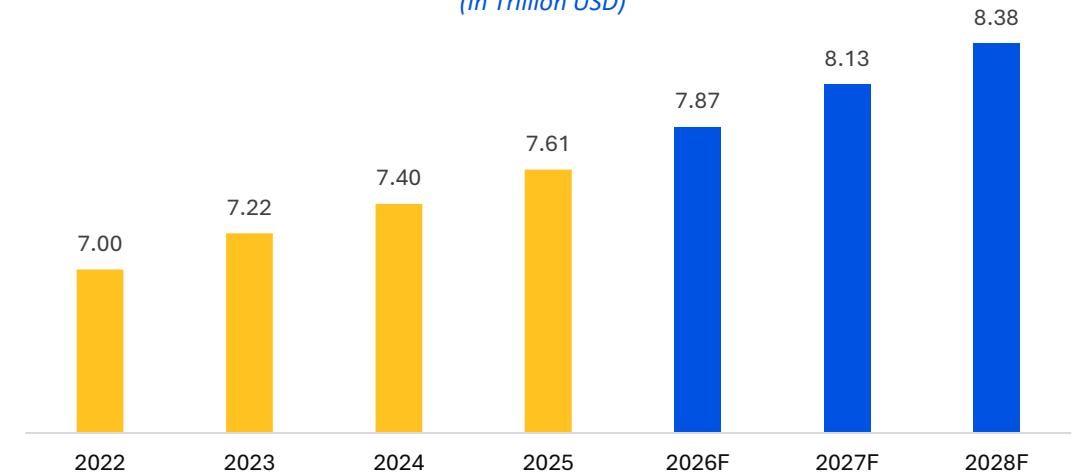
Consumer spending usually depends on how much income people have after taxes, especially for non-essential (discretionary) items. Recently, steady wage growth of around 3–4% per year has supported income levels, even though the job market has slightly weakened. After declining in 2022, income growth has picked up again due to stronger business activity and higher wages.

At the same time, the savings rate has dropped to low levels because of high inflation. Although savings are expected to improve in 2026, they will likely remain below pre-pandemic levels due to easier monetary policy and possible inflation pressures.

Source: Statista, FRED

Retail Sales in the U.S.

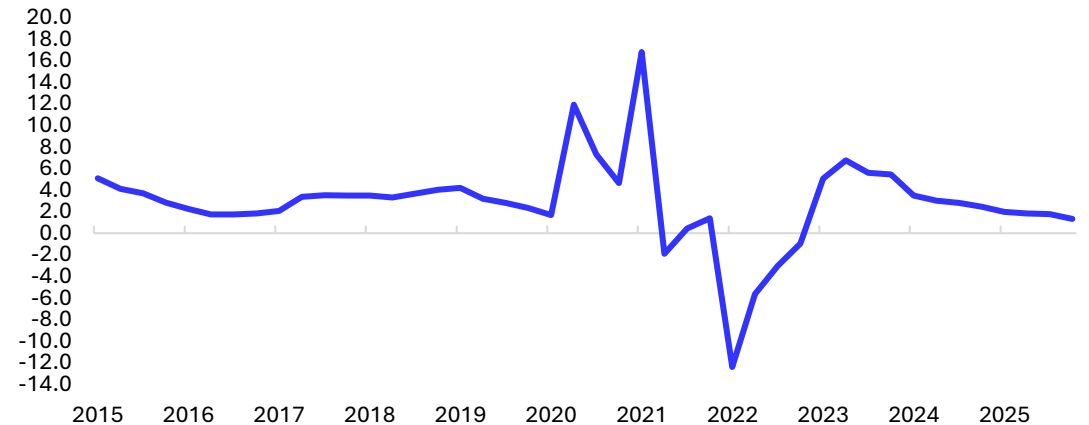
(In Trillion USD)



Source: Statista

Real Disposable Personal Income

(% Change, Y/Y)



Source: FRED

Walmart Inc. – Growth Story

Evolution from Brick-and-Mortar to Omnichannel

Walmart’s growth story reflects a major transformation from a traditional brick-and-mortar discounter into a technology-driven, omnichannel retail ecosystem. The company is successfully executing a strategy of growing its bottom-line profits faster than its top-line sales by combining its vast physical store network with rapidly expanding digital businesses.

Key Growth Drivers:

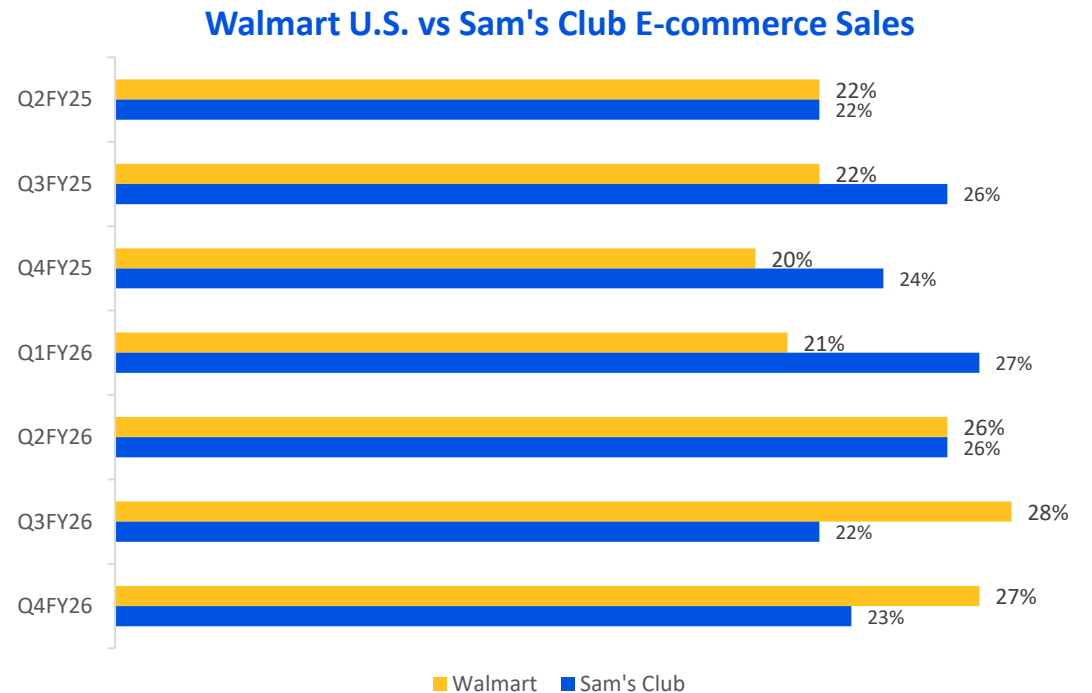
1. The “Second P&L” (Alternative Profit Streams)

Walmart is moving beyond traditional retail by scaling high-margin revenue streams, referred to as its “second P&L.” These segments are growing faster than the core business and significantly enhancing operating margins. Company’s global advertising business has seen strong growth (around 28%–46% in recent quarters). The \$2.3 billion acquisition of VIZIO and its SmartCast platform further strengthens its advertising reach. Further, Walmart+ and Sam’s Club memberships continue to deliver consistent double-digit growth. The third-party marketplace is expanding rapidly (20%–30%), with more sellers using Walmart Fulfillment Services (WFS) for cost-efficient delivery.

Impact: Advertising and membership revenue together now contribute roughly one-third of Walmart’s consolidated adjusted operating income.

2. Omnichannel Convenience & eCommerce Profitability’

Walmart has effectively integrated physical and digital retail, creating a seamless shopping experience. Global eCommerce sales have been growing at over 20%, surpassing \$150 billion. The company leverages its 10,000+ stores as fulfillment hubs, enabling fast delivery about 35% of U.S. store-fulfilled orders arrive within three hours, and 20% within 30 minutes. After years of investment, Walmart’s eCommerce operations have reached profitability, driven by delivery route optimization and customer-paid convenience fees.



Walmart Inc. – Growth Story

3. Strong Value Proposition Attracting Higher-Income Shoppers

Walmart’s “Everyday Low Price” (EDLP) strategy continues to resonate, especially in an inflationary environment. A key driver of recent growth has been higher-income households (earning \$100K+ annually). These customers initially shop for groceries but are increasingly purchasing higher-margin products like apparel and home goods, supporting sustained growth in general merchandise categories.

4. Supply Chain Automation & AI (Agentic Commerce)

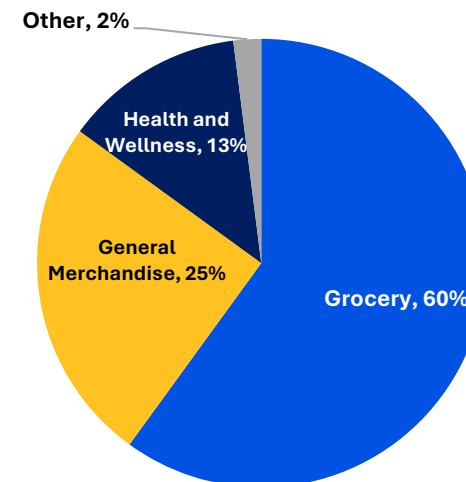
Walmart is investing heavily in technology to reduce costs and improve efficiency. Over 60% of U.S. stores are supplied by automated distribution centers, and more than half of eCommerce fulfillment volume is automated, improving productivity and lowering costs. Walmart’s AI assistant “Sparky” enables intent-based shopping, leading to 35% higher average order values for users. The company has also partnered with OpenAI to enable purchases through ChatGPT.

5. International Expansion in High-Growth Markets

Walmart’s international segment continues to drive overall growth, particularly in markets like Mexico, China, and India. In China, eCommerce contributes over 50% of sales, with nearly 80% of orders delivered within an hour. In India, Flipkart drives significant sales volumes, while Walmart-backed PhonePe processes over 310 million daily transactions and is preparing for an IPO.

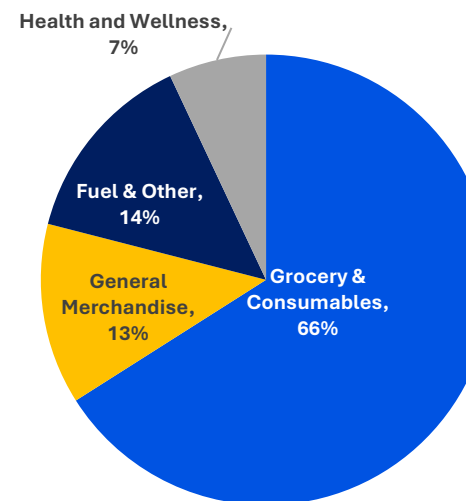
Source: Walmart 10K report, Earning Release, Transcripts – Management Calls

Walmart U.S. Sales Mix



Source: Earning Release

Sam's Club Sales Mix



Source: Earning Release

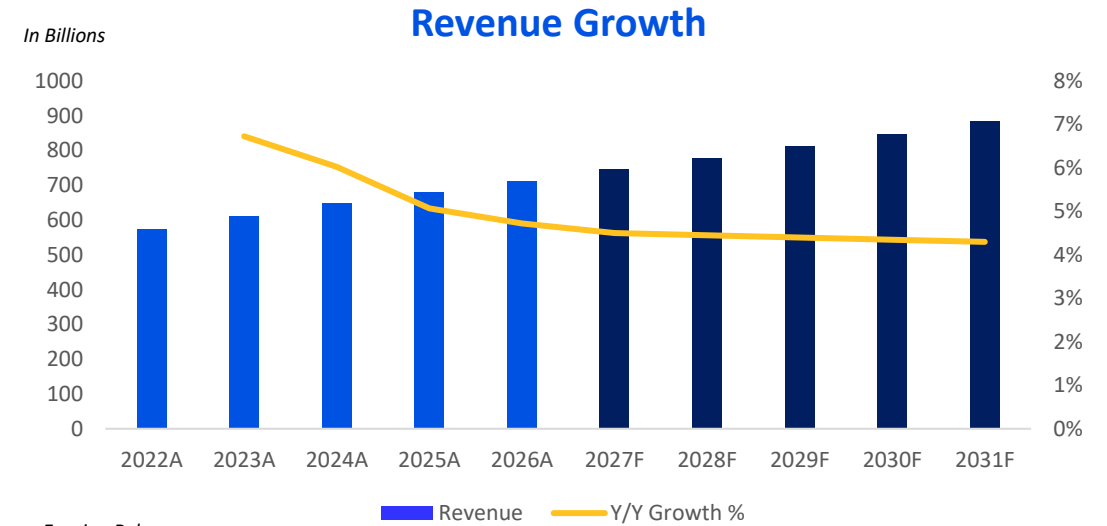
Financials

Revenue

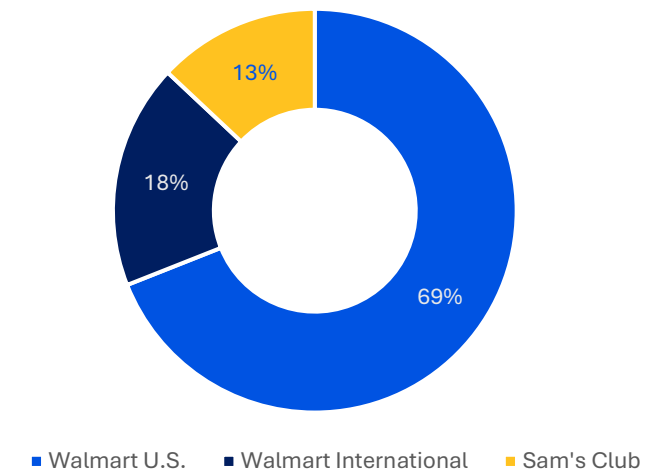
The company reported revenue of \$173.16 billion in FY2026, with growth remaining steady over time posting a CAGR of 5.9%, 5.4%, and 4.9% over the past 3 , 5 , and 7-year periods, respectively. Management remains optimistic about both U.S. and global retail growth, driven by rising consumer spending, increasing e-commerce adoption, and continued investments in supply chain modernization through AI and automation. For FY2027, the management has guided for consolidated net sales growth of approximately 3.5% to 4.5%.

According to consensus analyst estimates, revenue is expected to reach \$741.4 billion in FY2027 and \$775.57 billion in FY2028, implying growth of 4.0% and 4.6%, respectively.

Although Walmart may face potential challenges such as adverse weather conditions, global supply chain disruptions, cost pressures, and shifting consumer preferences, it is expected to maintain a stable growth trajectory in the 3.5% to 4.5% range. This outlook is supported by its ongoing transition toward an omnichannel and e-commerce-driven model, stronger digital engagement, faster delivery capabilities, a wide product assortment, growth in membership-based income, and continued investments in wages and store upgrades. Collectively, these factors position Walmart for sustained growth over the next 5 to 10 years.



Share of Walmart's Net Sales in FY'26



Operating Income

Walmart’s operating income reflects a balance between short-term cost pressures and long-term efficiency gains. In FY2026, the company reported \$29.8 billion in operating income, with adjusted operating income growing 5.4% marking the third consecutive year of profits growing faster than sales. However, margins were slightly pressured due to higher SG&A costs, driven by increased liability claims, a one-time PhonePe related charge, and investments in wages, technology, and acquisitions.

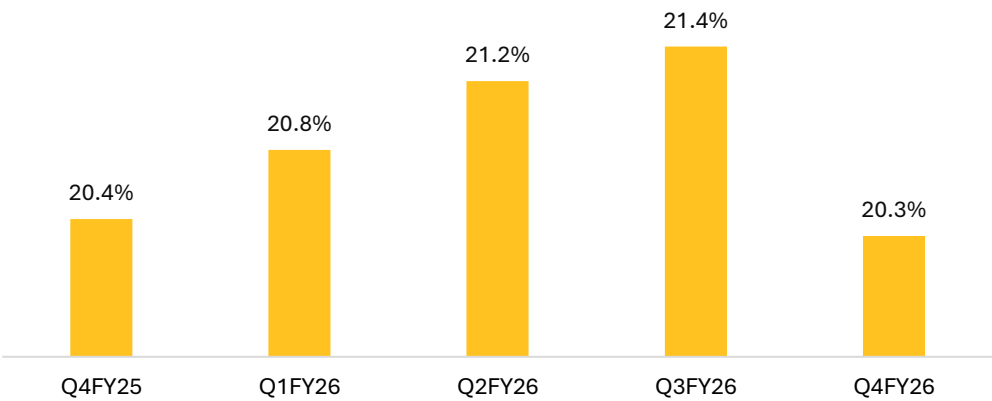
By Q4FY26, operating income growth accelerated to 10.5%, supported by benefits from automation and productivity initiatives.

A key driver of profitability is Walmart’s evolving business mix. Higher-margin streams like advertising and membership income now contribute significantly (about one-third of operating income), supporting margin expansion. Over the long term, operating expenses have remained stable at ~20–21% of revenue (median 20.6%), highlighting strong cost discipline despite rapid e-commerce growth. While near-term pressures from digital expansion and investments may persist, efficiency gains from automation, scale, and supply chain optimization are expected to offset them.

Overall, We expect that Walmart is well-positioned to sustain operating income growth of 6–8%, driven by a more diversified and higher-margin business model.

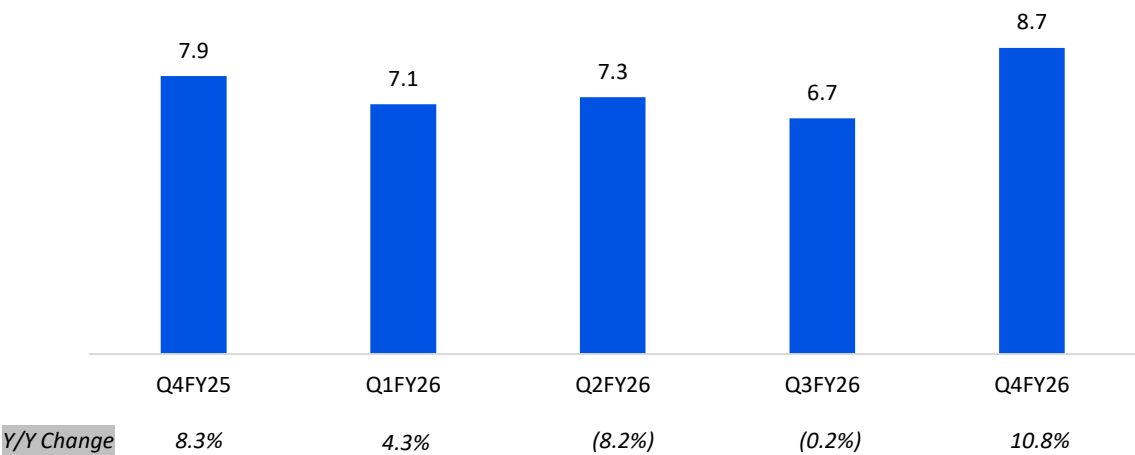
Source: Walmart 10K report, Earning Release, Transcripts – Management Calls

Operating expenses as a percentage of total revenue



Source: Earning Release

Operating Income



Source: Earning Release

Inventory

Walmart has historically maintained disciplined inventory levels at ~9% of revenue, with turnover around 8.5x and inventory days at ~43, well below peers (~59 days). As of Q3, inventory rose ~4% YoY, largely due to higher import costs and timing of receipts, with much of the increase “in transit” rather than in stores. Management highlighted “clean” inventory levels and introduced over 7,000 rollbacks to drive sell-through.

We expect inventory to remain stable at ~9% of revenue, with turnover of 8.0–8.5x and days in the 40–42 range through the forecast period, supported by AI-driven demand forecasting and supply chain automation.

Source: Walmart 10K report, Earning Release, Transcripts – Management Calls

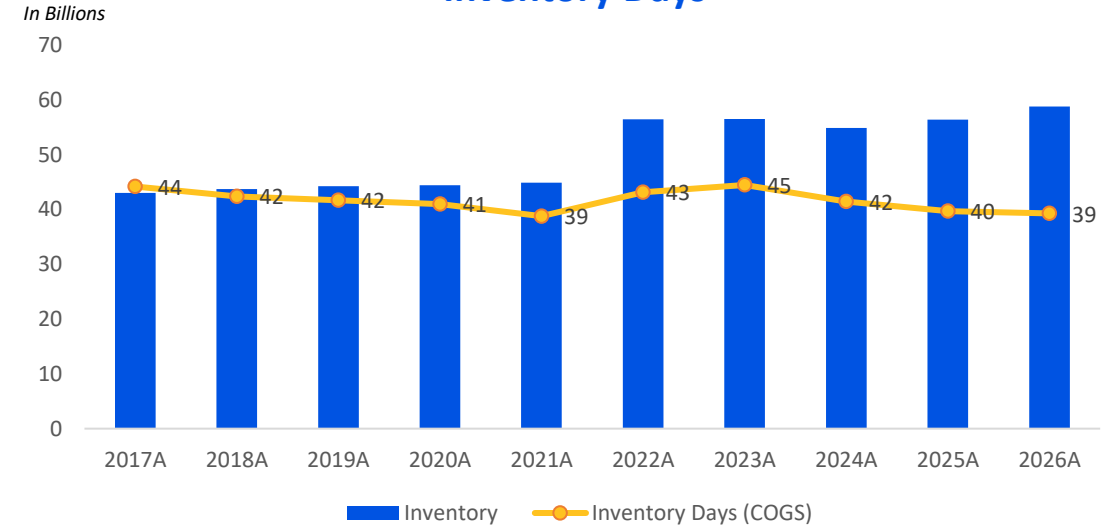
Accounts Receivable

Walmart’s receivables remain low at ~1.3% of revenue, reflecting its cash-heavy retail model and strong supplier terms. With average turnover ratio of 79.1x, receivable days are stable at ~4–5, which aligns with the peers average of ~4-6 days. Receivables primarily arise from pharmacy insurance reimbursements, advertising partners, supplier incentive programs, and financial institutions for card transactions that take longer than a week to process.

We expect Walmart’s receivables to remain stable at ~1.3% of revenue with receivable days at ~5, supported by its scale, strong supplier terms, and efficient collections. This positions Walmart well relative to peers, providing consistent working capital discipline.

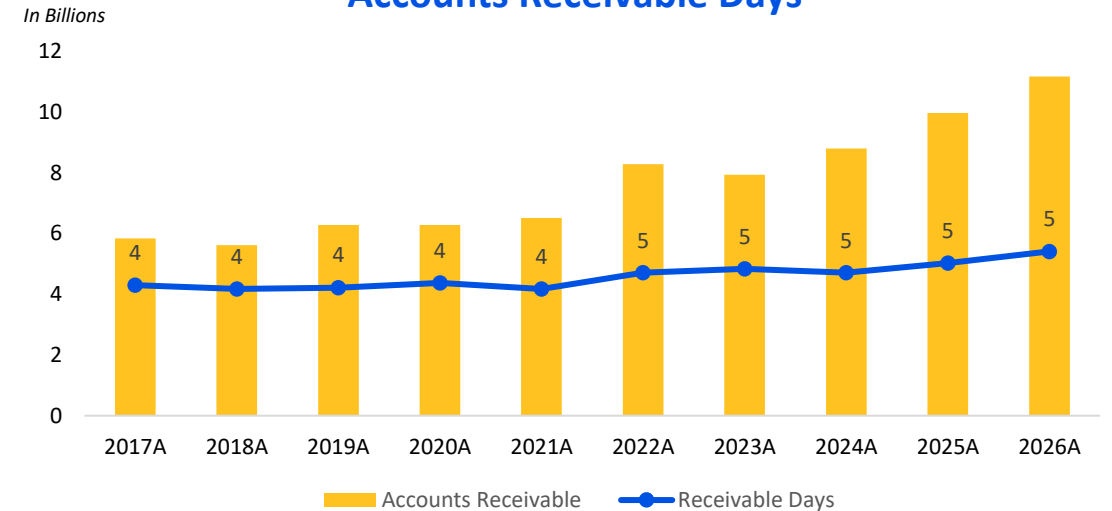
Source: Walmart 10K report, Earning Release, Transcripts – Management Calls

Inventory Days



Source: Earning Release

Accounts Receivable Days



Source: Earning Release

Accounts Payable

The Company has maintained consistent payable of 42 days average and are consistently around 11.5% of COGS and 8.6% revenue.

The peer companies in market Maintained payable days of 32 days which is Lower than 10-year historical payable days of the company, further, street estimates that payable levels to remain flat from existing payables.

In absence of management guidance on Trade payable and basis our research we'll assume that the payable days to remain Flat around 42 days.

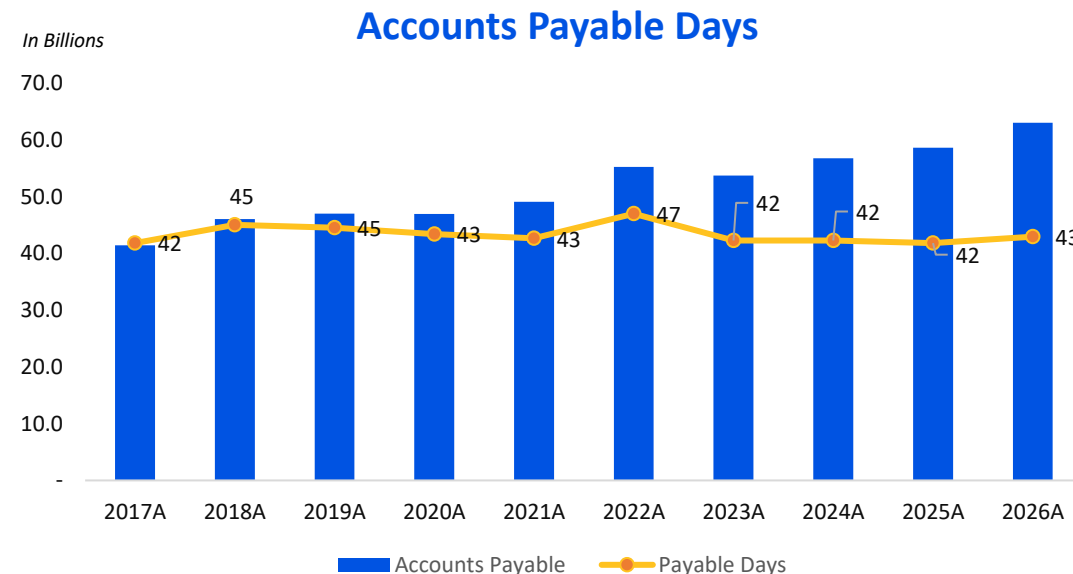
Source: Walmart 10K report, Earning Release, Transcripts – Management Calls

Capital Expenditure

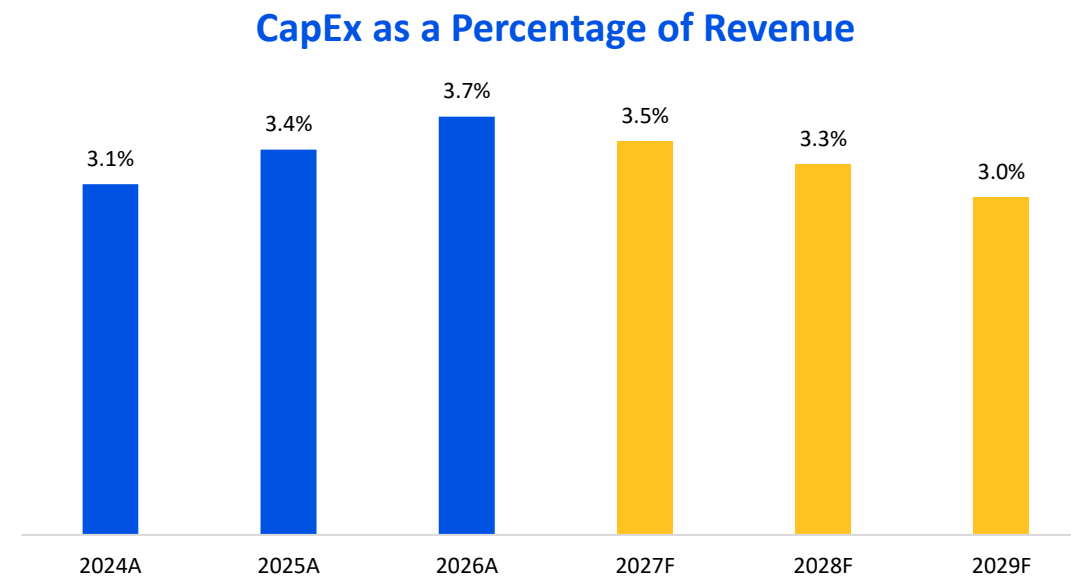
Walmart's CapEx rose to \$26.64B in FY2026 (vs. \$23.78B in FY2025), mainly driven by investments in automation, e-commerce, supply chain, and store remodels, with the U.S. accounting for the majority. For FY2027, CapEx is guided at \$25–27B (~3.5% of sales). Management indicated current spending is near peak levels, especially in supply chain automation and store upgrades. Going forward, investments will remain focused on technology, efficiency, AI, and customer experience, with a disciplined, high-ROI approach driving long-term value.

We will align our models CapEx range with managements guidance for FY27, after which CapEx will gradually decline by 30 basis points per year until stabilizing at 2.5% of revenue. In the terminal year, we align CapEx with depreciation (100% maintenance), reflecting a steady-state growth profile.

Source: Walmart 10K report, Earning Release, Transcripts – Management Calls



Source: Earning Release



Source: Earning Release

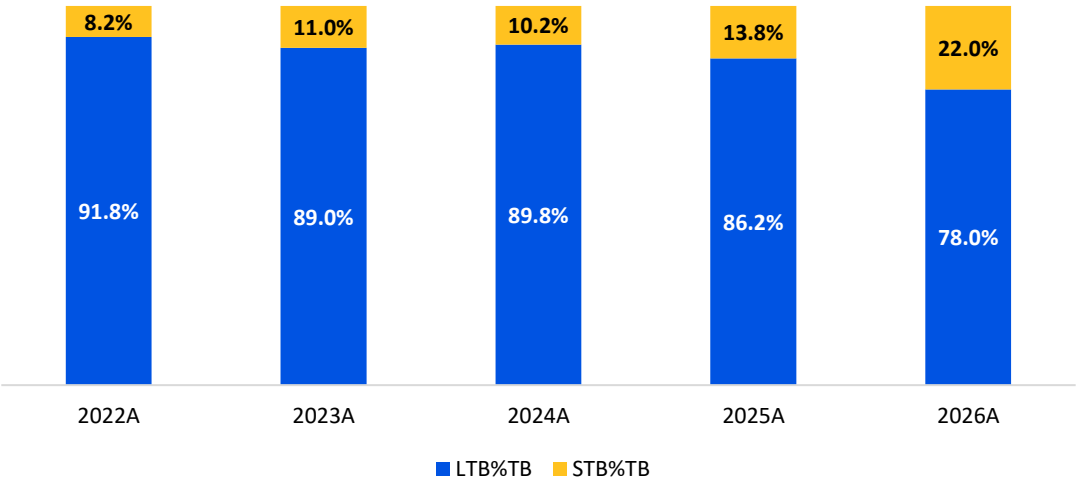
Borrowings

In recent years, the company has maintained long-term debt at around \$35 billion, with a notable decline from 7.4% of revenue in FY2021 to 5.0% in FY2026. Leverage ratios have remained stable, with Debt-to-Equity at 0.5x, Debt-to-Capital at 0.3x, and Debt-to-Assets at 0.2x. Short-term borrowings have also remained consistent at approximately 0.7% of revenue, primarily used to support operational needs. Management remains confident in the company’s debt capacity, supported by strong credit ratings which allow Walmart to refinance at favorable rates.

Going forward, we expect the company to gradually reduce its reliance on long-term debt and become more self-sufficient through internal cash generation, while maintaining short-term borrowings at around 0.7% of revenue.

Source: Walmart 10K report, Earning Release, Transcripts – Management Calls

Long Term & Short Term Borrowings



Source: Earning Release

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Valuation

Objectives

The Objective is to reach at the intrinsic value of Walmart's stock. The analysis aims to assess the company's worth basis its ability to generate cash flows, future growth and risk associated with the business. We have carefully considered management's guidance while performing this analysis.

Valuation Methodology

The three approaches generally adopted in valuation are as under:

- **Market Approach:** Comparable Companies, Comparable transaction Method.
- **Income Approach:** Discounted Cash Flow (DCF).
- **Asset Approach:** Net Asset Value Method.

For any valuation, all the approaches may not be relevant and therefore will not give a fair estimate of value. Hence, the approach most suitable for specific business/company must be applied in valuation exercise based on common practices.

Market Approach

Under This approach, we measure the value of business the company by applying the market multiples of listed companies which trade actively and possess attributes similar and comparables with the target company. This methodology is based on the principle that such market pricing taking place between informed buyers and informed sellers while considering all the relevant factors.

Not all multiples are applicable to every company. Therefore, the relevant multiples should be chosen carefully and adjusted for differences between the comparables. For the purpose of valuation of Walmart, we chosen EV/EBITDA multiple.

Income Approach

Under This approach, the value of business is derived by considering free cash flows, future growth, and weighted average cost of capital which signifies risk.

There are four steps in Income approach:

- Forecasting future cash flows for explicit growth period.
- Discounting these cash flows to present value at the rate of return which depicts the risk in realizing the future cash flows and expected growth.
- Calculation of terminal value of free cash flows post explicit growth period.
- Addition of present value of terminal cash flows and free cash flows during explicit forecast period.

Asset Approach

Under this approach, the value of the business is derived basis difference between the value of assets and liabilities . This approach focuses on determining the value of net assets from the perspective of equity valuation. The value of net assets can be determined as follows:
$$\text{Net Assets} = \text{Total Assets} - \text{Total External Liabilities}.$$

DCF Valuation

In INR Crores unless stated Otherwise

			Actual	Explicit Forecast Period									
In INR Crores unless stated Otherwise			FY2026	FY2027	FY2028	FY2029	FY2030	FY2031	FY2032	FY2033	FY2034	FY2035	FY2036
Free Cash Flow to Firm													
EBITDA			44,028.0	47,671.4	52,554.5	57,578.7	62,742.5	68,095.9	70,498.5	73,972.9	75,591.5	80,330.6	84,227.7
Less: Depreciation & Amortization			(14,203.0)	(15,625.4)	(17,136.5)	(18,570.6)	(19,917.4)	(21,218.2)	(22,573.5)	(23,987.1)	(25,461.5)	(26,999.3)	(28,603.3)
EBIT			29,825.0	32,046.0	35,418.1	39,008.1	42,825.0	46,877.7	47,925.0	49,985.7	50,129.9	53,331.2	55,624.5
Less: Tax			(7,199.0)	(7,205.4)	(8,038.1)	(8,917.7)	(9,859.1)	(10,868.8)	(11,169.9)	(11,689.0)	(11,744.5)	(12,509.8)	(13,056.1)
EBIT (1-T)			22,626.0	24,840.6	27,380.0	30,090.5	32,965.9	36,008.9	36,755.1	38,296.8	38,385.5	40,821.4	42,568.4
Add: Depreciation & Amortization			14,203.0	15,625.4	17,136.5	18,570.6	19,917.4	21,218.2	22,573.5	23,987.1	25,461.5	26,999.3	28,603.3
Cash NOPAT			36,829.0	40,466.0	44,516.5	48,661.0	52,883.3	57,227.1	59,328.6	62,283.9	63,847.0	67,820.8	71,171.6
Less: Reinvestments													
Change in Working Capital			(968.0)	(1,553.7)	(566.1)	(2,252.5)	(671.7)	2,917.8	(545.6)	(586.7)	(606.7)	(642.9)	(670.5)
Capex During the Year			(26,536.0)	(26,083.9)	(25,687.8)	(24,380.1)	(22,896.6)	(22,112.1)	(23,040.9)	(24,031.6)	(25,065.0)	(26,142.8)	(27,266.9)
Free Cash Flow to Firm			9,325.0	12,828.3	18,262.6	22,028.5	29,315.1	38,032.8	35,742.1	37,665.6	38,175.3	41,035.1	43,234.2
Discount Period (Years)	Mid Year Convention?	Yes		0.5	1.5	2.5	3.5	4.5	5.5	6.5	7.5	8.5	9.5
Discount Rate (WACC)	7.00%												
Present Value Factor				0.967	0.903	0.844	0.789	0.738	0.689	0.644	0.602	0.563	0.526
Present Value of Free Cash Flow to Firm				12,401.6	16,500.1	18,600.5	23,133.8	28,049.9	24,636.0	24,263.3	22,982.9	23,088.4	22,734.3

DCF Calculation - Prepetuity Growth

Perpetual growth Rate	2.5%
Terminal Year FCFF x (1+PGR)	44,315.0
Terminal Value	984,778.6
Present Value of Terminal value	726,292.5
Present Value of FCFFs	98,686.0
Enterprise Value	824,978.5
Implied Exit Multiple	9.8x
Implied EV/EBITDA	18.7x
Less: Debt	(46,093.0)
Add: Cash	10,727.0
Less: Minority Interest	(6,563.0)
Add: Non-Operating Asset	5,675.0
Equity Value for Shareholders	788,724.5

DCF Calculation - Exit Multiple

Exit Multiple	13.3x
Terminal Year EBITDA	84,227.7
Terminal Value	1,120,229.1
Present Value of Terminal value	589,061.9
Present Value of FCFFs	98,686.0
Enterprise Value	687,747.9
Implied Exit Multiple	8.2x
Implied EV/EBITDA	15.6x
Less: Debt	(46,093.0)
Add: Cash	10,727.0
Less: Minority Interest	(6,563.0)
Add: Non-Operating Asset	5,675.0
Equity Value for Shareholders	651,493.9

Market Cap
\$ 979.7 Billion

Intrinsic Value
\$ 788.7 Billion

WACC
7%

Terminal Growth
2.5%

		WACC				
		6.0%	7.0%	8.0%	9.0%	10.0%
Terminal Growth%	2.0%	913,335.5	712,906.7	579,666.7	484,803.8	413,913.1
	2.5%	1,039,256.7	788,724.5	629,704.7	519,943.1	439,722.2
	3.0%	1,207,151.5	883,496.8	689,750.3	560,939.0	469,218.2
	3.5%	1,442,204.3	1,005,347.0	763,139.4	609,388.6	503,252.1
	4.0%	1,794,783.6	1,167,813.8	854,875.8	667,528.2	542,958.2
		Exit Multiple				
		10.0x	11.0x	12.0x	13.0x	14.0x
Terminal Growth%	2.0%	943,021.3	736,186.1	598,697.0	500,816.7	427,677.5
	2.5%	1,072,987.9	814,439.7	650,342.6	537,084.9	454,315.6
	3.0%	1,246,276.5	912,256.7	712,317.2	579,397.8	484,759.2
	3.5%	1,488,880.7	1,038,021.4	788,064.0	629,403.9	519,886.5
	4.0%	1,852,786.9	1,205,707.7	882,747.6	689,411.3	560,868.3

Relative Valuation

In USD Millions unless stated Otherwise

Relative Valuation	Ticker	Market Data				Financials											
		Share Price	Market Cap.	Debt	Enterprise Value	2026A Revenue	2027F Revenue	2026A EBITDA	2027F EBITDA	2026A PAT	2027F PAT	2026A EV/Revenue	2027F EV/Revenue	2026A EV/EBITDA	2027F EV/EBITDA	2026A P/E	2027F P/E
Costco Wholesale Corp.	NasdaqGS:COST	1,008.4	447,392.5	8,335.0	437,487.5	275,235.0	298,377.0	12,809.0	14,271.0	8,099.0	9,084.0	1.6x	1.5x	34.2x	30.7x	55.2x	49.3x
Target Corp.	NYSE:TGT	117.3	53,138.1	20,290.0	67,940.1	104,780.0	106,733.0	7,909.0	8,273.0	3,451.0	3,628.0	0.6x	0.6x	8.6x	8.2x	15.4x	14.6x
Dollar General	NYSE:DG	131.8	29,020.5	15,718.7	43,600.6	42,724.4	44,454.5	3,250.0	3,465.6	1,512.3	1,608.0	1.0x	1.0x	13.4x	12.6x	19.2x	18.0x
BJ's Wholesale club Holdings	NYSE:BJ	97.7	12,672.0	2,738.3	15,364.1	21,457.3	22,679.3	1,157.6	1,223.0	581.3	592.6	0.7x	0.7x	13.3x	12.6x	21.8x	21.4x
The Kroger Co.	NYSE:KR	75.6	46,418.4	24,680.0	67,764.4	147,642.0	149,683.9	8,094.0	8,263.8	3,199.0	3,228.0	0.5x	0.5x	8.4x	8.2x	14.5x	14.4x
Dollar Tree, Inc.	NasdaqGS:DLTR	107.5	21,368.8	7,658.9	28,432.9	19,411.8	20,650.7	2,312.3	2,459.8	1,187.7	1,317.1	1.5x	1.4x	12.3x	11.6x	18.0x	16.2x
PriceSmart, Inc.	NasdaqGS:PSMT	148.8	4,471.3	332.4	4,483.2	5,270.1	5,771.9	320.7	353.0	147.9	167.7	0.9x	0.8x	14.0x	12.7x	30.2x	26.7x
High												1.6x	1.5x	34.2x	30.7x	55.2x	49.3x
75th Percentile												1.2x	1.2x	13.7x	12.6x	26.0x	24.0x
Average												1.0x	0.9x	14.9x	13.8x	24.9x	22.9x
Median												0.9x	0.8x	13.3x	12.6x	19.2x	18.0x
25th Percentile												0.7x	0.7x	10.4x	9.9x	16.7x	15.4x
Low												0.5x	0.5x	8.4x	8.2x	14.5x	14.4x

EV/Revenue

Revenue	680,985.0
EBITDA	42,222.0
PAT	19,436.0
Valuation Multiple	EV/Revenue
EV/Revenue	0.9x
Enterprise Value	579,305.5
Less: Debt	(46,093.0)
Add: Cash	10,727.0
Less: Minority Interest	(6,563.0)
Add: Non-Operating Asset	5,675.0
Equity Value for Shareholders	543,051.5

EV/EBITDA

Revenue	680,985.0
EBITDA	42,222.0
PAT	19,436.0
Valuation Multiple	EV/EBITDA
EV/EBITDA	13.3x
Enterprise Value	560,395.9
Less: Debt	(46,093.0)
Add: Cash	10,727.0
Less: Minority Interest	(6,563.0)
Add: Non-Operating Asset	5,675.0
Equity Value for Shareholders	524,141.9

Price to Earnings

Revenue	680,985.0
EBITDA	42,222.0
PAT	19,436.0
Valuation Multiple	P/E
P/E	19.2x
Equity Value	372,967.5
Less: Debt	-
Add: Cash	-
Less: Minority Interest	-
Add: Non-Operating Asset	-
Equity Value for Shareholders	372,967.5

Relative Valuation - Benchmarking

The selected peer group including Costco, Target, Kroger, Dollar Tree, Dollar General, BJ's Wholesale, and PriceSmart has been chosen to reflect Walmart's diversified retail model across grocery, general merchandise, discount, and membership-based formats.

These companies are comparable due to their large scale, similar low-margin and high-volume operating structures, and significant exposure to essential consumer spending categories. Additionally, all peers are actively investing in omnichannel capabilities, integrating physical stores with e-commerce platforms to enhance customer convenience.

Overall, this peer set captures the key structural and operational characteristics of Walmart's business, making it an appropriate benchmark for relative valuation analysis.

Summary	2022	2023	2024	2025	2026	Historical Average
Average Revenue Growth	14.4%	8.3%	1.5%	4.4%	3.6%	6.4%
Average EBITDA Margin	7.5%	7.4%	7.6%	7.1%	6.7%	7.3%
Average EBIT Margin	5.6%	5.5%	5.8%	5.2%	4.6%	5.4%
Average PBT Margin	3.4%	3.5%	3.5%	3.8%	3.9%	3.6%
Average PAT Margin	2.6%	2.6%	2.6%	2.9%	2.9%	2.7%
Median Revenue Growth	17.0%	8.0%	7.5%	3.4%	4.7%	8.1%
Median EBITDA Margin	6.2%	5.9%	6.0%	6.2%	6.2%	6.1%
Median EBIT Margin	4.4%	4.2%	4.0%	4.6%	4.2%	4.3%
Median PBT Margin	4.1%	3.9%	3.6%	4.1%	3.9%	3.9%
Median PAT Margin	2.7%	2.6%	2.6%	2.8%	2.8%	2.7%

Comparable Company Description

Company Name	Business Description
Costco Wholesale Corp.	Costco Wholesale Corporation, together with its subsidiaries, engages in the operation of membership warehouses in the United States, Puerto Rico, Canada, Mexico, Japan, the United Kingdom, Korea, Australia, Taiwan, China, Spain, France, Iceland, New Zealand, and Sweden. It offers merchandise, including sundries, dry groceries, candies, coolers, freezers, deli, liquor, and tobacco; non-food merchandise comprising appliances, small electronics, health and beauty aids, hardware, lawn and garden, sporting goods, tires, toys and seasonal, automotive, stamps, tickets, apparel, furniture, domestics, housewares, special order kiosks, and jewelry; and fresh food, such as meat, produce, service deli, and bakery products. The company is also involved in warehouse ancillary operations, which include gasoline, pharmacies, optical, food courts, hearing-aid centers, and tire installation centers. In addition, it engages in e-commerce, business centers, travel, and other businesses. The company was formerly known as Costco Companies, Inc. and changed its name to Costco Wholesale Corporation in August 1999. Costco Wholesale Corporation was founded in 1976 and is based in Issaquah, Washington.
Target Corp.	Target Corporation operates as a general merchandise retailer in the United States. It offers apparel for women, men, young adults, kids, toddlers, and babies, as well as jewelry, accessories, and shoes; and beauty products, such as skin and bath care, cosmetics, hair care, oral care, deodorant, and shaving products. The company also provides food and beverage products comprising dry and perishable grocery, including snacks, candy, beverages, deli, bakery, meat, produce, and food service; electronics which includes video games and consoles, toys, sporting goods, entertainment, and luggage; bed and bath, home décor, school/office supplies, storage, small appliances, kitchenware, greeting cards, party supplies, furniture, lighting, home improvement, and seasonal merchandise; and household essentials, such as household cleaning, paper products, over-the-counter healthcare, vitamins and supplements, baby gear, and pet supplies. In addition, it sells merchandise through periodic design and creative partnerships, and shop-in-shop experience; and in-store amenities. The company sells its products through its stores; and digital channels, including Target.com. Target Corporation was incorporated in 1902 and is headquartered in Minneapolis, Minnesota.
Dollar General	Dollar General Corporation, a discount retailer, provides various merchandise products in the southern, southwestern, midwestern, and eastern United States. The company offers consumable products, including paper towels, bath tissues, paper dinnerware, trash and storage bags, disinfectants, and laundry products; packaged food, such as cereals, pasta, canned soups, canned meats, fruits and vegetables, condiments, spices, sugar, and flour; and perishables, including milk, eggs, bread, refrigerated and frozen food, beer, wine, and produce; candy, cookies, crackers, salty snacks, and carbonated beverages; over-the-counter medicines and personal care products including soap, body wash, shampoo, cosmetics, dental hygiene and foot care products; pet supplies and pet food; and tobacco products. It also provides seasonal products comprising holiday items, toys, batteries, small electronics, greeting cards, stationery, prepaid phones and accessories, gardening supplies, hardware, automotive, and home office supplies; home products include kitchen supplies, cookware, small appliances, light bulbs, storage containers, frames, candles, craft supplies and kitchen, and bed and bath soft goods; and apparel products for infants, toddlers, girls, boys, women and men, as well as socks, underwear, disposable diapers, shoes and accessories. The company was formerly known as J.L. Turner & Son, Inc. and changed its name to Dollar General Corporation in 1968. Dollar General Corporation was founded in 1939 and is based in Goodlettsville, Tennessee.
BJ's Wholesale club Holdings	BJ's Wholesale Club Holdings, Inc., together with its subsidiaries, operates membership warehouse clubs on the eastern half of the United States. The company offers groceries, fresh food, general merchandise, gasoline, and other ancillary services. It sells its products through its clubs; the BJs.com website; and its mobile app. The company was formerly known as Beacon Holding Inc. and changed its name to BJ's Wholesale Club Holdings, Inc. in February 2018. BJ's Wholesale Club Holdings, Inc. was founded in 1984 and is headquartered in Marlborough, Massachusetts.
The Kroger Co.	The Kroger Co. operates as a food and drug retailer in the United States. The company operates combination food and drug stores, multi-department stores, marketplace stores, and price impact warehouses. Its combination food and drug stores offer natural food and organic sections, pharmacies, general merchandise, pet centers, fresh seafood, and organic produce; and its multi-department stores provide apparel, home fashion and furnishings, outdoor living, electronics, automotive products, and toys. The company's marketplace stores offer full-service grocery, pharmacy, health and beauty care, and perishable goods, as well as general merchandise, including apparel, home goods, and toys; and its price impact warehouse stores provide grocery, and health and beauty care items, as well as meat, dairy, baked goods, and fresh produce items. It also manufactures and processes food products for sale in its supermarkets and online; and sells fuel through its fuel centers. The company sells its products through its stores, fuel centers, and online platforms. The Kroger Co. was founded in 1883 and is based in Cincinnati, Ohio.
Dollar Tree, Inc.	Dollar Tree, Inc. operates retail discount stores under the Dollar Tree and Dollar Tree Canada brands in the United States and Canada. The company offers consumable merchandise comprising everyday consumables, such as household paper and chemicals, food, candy, health, personal care products, and frozen and refrigerated food; variety merchandise consisting of toys, durable housewares, gifts, stationery, party goods, greeting cards, softlines, arts and crafts supplies, and other items; and seasonal goods, including Christmas, Easter, Halloween, and Valentine's Day merchandise. Dollar Tree, Inc. was founded in 1986 and is based in Chesapeake, Virginia.
PriceSmart, Inc.	PriceSmart, Inc. owns and operates U.S.-style membership shopping warehouse clubs in the United States, Central America, the Caribbean, and Colombia. The company provides basic and private label merchandise and consumable and non-consumable products under the Member's Selection brand, including groceries, cleaning supplies, health and beauty aids, meat, produce, deli, seafood, and poultry. It also offers electronics, large and small appliances, automotive, hardware, sporting goods, seasonal products, clothing, domestic, and home furnishing products. In addition, the company offers food and bakery services, as well as health services, such as optical, audiology, and pharmacy. Further, it operates an e-commerce platform, as well as offers curbside pickup and delivery services. PriceSmart, Inc. was incorporated in 1994 and is headquartered in San Diego, California.

Annexure - I

Weighted Average Cost of Capital (WACC)

Particulars	
Risk Free Rate	4.07%
Equity Risk Premium	4.38%
Equity Beta	0.66
CAPM Cost of Equity	6.96%
Pre Tax Cost of Debt	4.85%
Marginal Tax Rate	21%
Post Tax Cost of Debt	3.83%
Capital Gearing (D/D+E)	29.60%
Weighted Average Cost of Capital	6.03%
Weighted Average Cost of Capital (Rounded)	7.00%

Risk Free Rate

We have considered 4.07% as the risk free rate in estimation of cost of equity of 6.96%. The risk free rate of U.S.A. is Calculated by Considering local currency 10-year government bond yield adjusted for default spread of U.S.A.

Equity Beta

We used the 5-year monthly beta to better reflect Walmart’s evolving business model. This period captures its shift from a traditional brick-and-mortar retailer to an omnichannel platform with growing higher-margin revenue streams, making it a more accurate measure of its current risk profile.

Equity Risk Premium (ERP)

An ERP of 4.38% has been adopted based on US implied equity risk premium.

Cost of Debt

For the purpose of assessing cost of debt, we have used Country's risk free rate, country's default spread and corporate default spread based on company's debt rating and interest coverage ratio.

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Valuation Summary

Valuation Method	Enterprise Value	Equity Value for Shareholders	Value Per Share	Market Price	Discount/Premium	Discount/Premium%
DCF - Perpetuity Growth	686,596.6	650,342.6	81.6	122.8	41.2	50.5%
DCF - Exit Multiple	637,649.9	601,395.9	75.5	122.8	47.3	62.7%
EV/Revenue	579,305.5	543,051.5	68.1	122.8	54.7	80.2%
EV/EBITDA	560,395.9	542,141.9	68.0	122.8	54.8	80.5%
P/E	-	372,967.5	46.8	122.8	76.0	162.4%

We have considered DCF – Perpetuity Growth as the basis for this valuation.

Value Per Share	81.6
Market Price	122.8
Discount/Premium	41.2
Discount/Premium%	50.5%

Analysis Considering DCF Valuation for Perpetual Growth:

Based on our DCF valuation using a perpetual growth approach, Walmart's intrinsic value is estimated at \$81.6 per share, while it is currently trading at \$122.8 representing a premium of ~50% above intrinsic value. This valuation gap reflects strong investor confidence in the company's ongoing business transformation, expansion into higher-margin revenue streams, and management's ability to navigate challenging operating conditions.

Acknowledgement

Report Prepared by – Ganesh Goyal

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With sincere appreciation,
Ganesh Goyal,
Thank You